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Subject: English 1

Unit 4: Economics discipline

A- The economy

Economics involves the study of how a country organizes its finance, trade and industry. A common way to assess the strength of a country's economy is by calculating gross domestic product (GDP) per person. GDP is a financial term which is defined as 'the total value of all the goods and services produced by a country in one year'. One way to work out GDP is by adding together everyone's income. This includes wages and profits made from investments. To calculate GDP per person, you divide the country's total GDP by its population. A strong GDP generally indicates a good economic situation. It usually also means that a country's currency will be strong, and as a result, goods from other countries are cheap to buy.

1 Complete the definitions with the correct part of speech {N}= noun or {A}=adjective)

1. *economy* or *economics*
2. *income*
3. *investment*
4. *financial*
5. *financial forward*

2 Complete the sentences with the words and phrases from the box.

currency economy finance financial income investment

1. Although many areas were affected by the financial crisis, the _____ here is improving.
2. There are often limits on the amount of foreign _____ you can take into a country.
3. If you have a higher _____, you normally pay more tax.

4. London has become a global centre for banking and _____.
5. Over the last few years there has been more _____ in technology companies.
6. _____ services is one of the most important industries in the UK.

3 a Complete the table with the correct form of the words.

Noun	**Adjective**	**Verb**
1 _____	–	invest
finance	2 _____	finance
economy, economics	3 _____	economize
4 _____	profitable	profit

b Complete the sentences with the correct words. Use the table in exercise 3a to help.

1. Business owners tend to _____ money to make more money.
2. If you want to improve your personal wealth you could take some _____ advice.
3. Analysts predict that China's _____ growth will rapidly decline over the next two decades.
4. Many companies now find online business more _____ than traditional models.

B- Finance

People often need to borrow money from a bank. They may want to invest in a business or to buy a property, but they do not have or earn enough money. Banks provide loans to make this possible. When someone applies for a loan, the bank looks at their income and decides how much they can afford. If the loan is agreed, the bank lends the money and sets an interest rate. The borrower has to repay the original loan and an additional percentage fee. This is how the bank makes a profit. If the borrower cannot repay what they owe, the bank may make a loss.

Usage note: borrow, lend and owe

Borrow means to take an item or amount of money from someone and agree to pay it back:

- Many students borrow money from the government so they can pay university fees.

Lend means to give an item or amount of money to someone but they have to give it back to you:

- Banks prefer to lend money to companies which have clear business plans.

Owe means that you have to pay for something that you have already received:

- Their business owes £1.4 million in unpaid taxes to the authorities.

Note the use of prepositions with the terms: borrow from, lend to, owe to.

4 Choose the correct word to complete the sentences.

1. When the economy is performing well, banks usually *borrow / lend / owe* more money to businesses.

2. If you plan to *borrow / lend / owe* large sums of money, you should consider how you will pay it back.

3. A large proportion of the UK population *borrows / lends / owes* money to credit card companies.

4. It is usual to *borrow / lend / owe* money from banks when making a large purchase, such as buying a house.

5. The World Bank can *borrow / lend / owe* money to countries which are trying to build their economy.

5 Read the text. Complete the sentences using words from the box:

earn \ income \ invest \ profits

On average, men _____ more than women in most companies. Many people feel that businesses should reduce the pay gap because they are making large _____ from the ideas and efforts of their female employees. Statistics from the USA also show that a woman's _____ is likely to be 75% of a man's, even if the woman has similar qualifications. This level rises to around 80% if the woman has a PhD. There is growing support for businesses to _____ more in female talent to reduce the pay gap and help generate economic growth.

6 Decide whether each description describes a profit {P} or a loss {L}).

1. A small business pays €4,000 in taxes to the Treasury, it sells items with these items' face value for €2,500 each, making a net operating **profit** of €1,500.

2. A company has a value of 5$ million. After making half a million on the first year's trading, it is only a quarter of that on the next.

3. A business bought for 250,000$ in 2008 and sold for 420,000$ three years later.

4. A family buys shares at a price of 3.25$. Due to currency changes, the value of the share is 3.65$ by the end of the day.

7 Write a short paragraph (three or four sentences) about one of the following:

Try to use some of the words from the unit.

- The economy of the country you currently live in or know about.
- How the global economy has changed in the last few years

Words to learn

borrow (v) **currency** (n) AWL **earn** (v) **economic** (adj) AWL **economics** (n) AWL **economy** (n) AWL **fee** (n) AWL **finance** (n) AWL **financial** (adj) AWL **income** (n) AWL **invest** (v) AWL **investment** (n) AWL **lend** (v) **loan** (n) **loss** (n) **owe** (v) **profit** (n)